

CHAPTER- 7

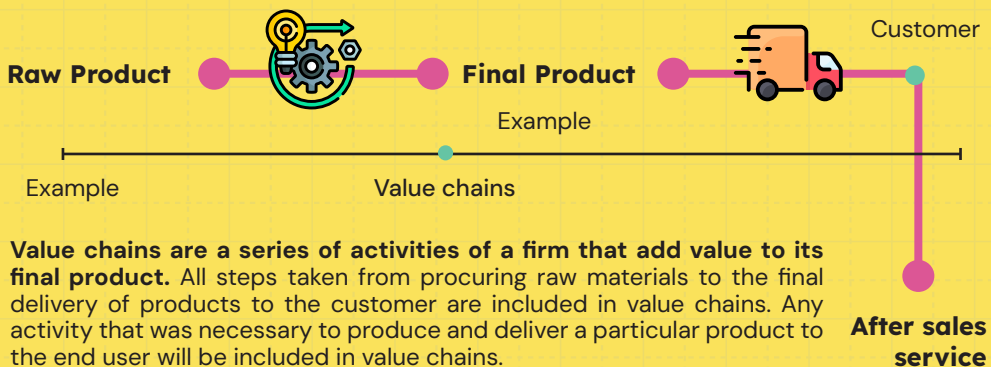
IDENTIFYING COMPETITIVE ADVANTAGES

Over this module, we have developed an understanding of competitive advantages. We started off by understanding the story and numbers sides of competitive advantages and then looked at numerous possible sources of competitive advantages. We acquired a basic understanding of why competitive advantages would exist and then we understood how to verify their existence and their strength.

Remember that this course takes the top-down approach and starts by identifying industries and then identifying winners in those industries. So now, we need efficient methods for identifying companies with competitive advantages in the industries we are interested.

In this chapter, we will discuss value chain analysis and some common signs of competitive edge.

VALUE CHAIN ANALYSIS



Since after-sales service adds to the customer's satisfaction with the product, they are also included in value chains. Without marketing it is difficult to reach customers and hence marketing too is a part of value chains.